NNWH Positioning

Executive Summary

Background

- CB MP ADO in Nanning Warehouse (NNWH) ADO grew to **29.2k ADO** in Jun'25 (+14.5% vs Jan), and currently contributes to **3.7% of VN CB MP** and **1.7% of TH CB MP**
- NNWH is currently positioned as a non-local WH for VN and TH market (similar to Anbo, KFBS), but with higher importance to VN market due to proximity to North VN where it improves **BWT vs SLS** and is an alternate option **for less risk/cost averse sellers**
- Given our emphasis to grow proportion of locally fulfilled orders for **better buyer experience**, we want to **reassess the value proposition of NNWH** within this narrative

Assessment

- In summary, we see that 3PF offers the best fulfilment experience for buyers in VN; while Local CBWH offers the best in TH; differences between various cost of fulfilment of various warehouse/channels is not significant for sellers, therefore we recommend that
  - For VN
    - **Push 3PF as first priority** for shorter BWT (3PF 2.7 days vs NNWH 3.6 days, SLS 7.4 days) and to counter TTS head on
    - **NNWH to be deprioritized but keep** as an option because 1) some sellers can't meet 3PF compliance requirement and can only do NNWH for LFF 2) NNWH still helps improve BWT significantly vs SLS (3.6 days vs SLS 7.4 days)
    - Concurrently, we should optimize NNWH lead time and aim for 0.5 day faster vs Anbo WH, starting with pilot for North VN areas. As of Jul, NNWH already achieved 75% orders delivered within 2 days for Hanoi
  - For TH
    - We **focus solely on local CBWH**, while **deprioritizing NNWH** because 1) there is no SKUs that can only be fulfilled from NNWH for TH and 2) BWT being **much slower** (~3 days) vs local CBWH
  - Additionally,
    - We will **not be disadvantaged** vs competitor is we deprioritize Nanning WH to push true local fulfilment, as TTS main **3PFs partners are all in local VN and TH**

To achieve this, we can

- [Short Term] Govern seller movement by 1) differentiating NNWH commission between SLS and Local CBWH, and 2) remove any existing discounts for NNWH where applicable
- [Short Term] Further optimize and set targets for NNWH BWT especially for NNWH to northern VN
- [Mid Term] Refresh NNWH ADO projection and WH size planning

Current Landscape: NNWH ADO grew by 14.5% from 25.5k ADO to 29.2k ADO from Jan’25 to Jun’25, and currently contributes to 3.7% of VN CB MP and 1.7% of TH CB MP

Table: CB FBS Nanning Warehouse (NNWH) Jan’25 vs Jun’25 Performance

Key Metrics	Total			VN			TH		
	Jan'25	Jun'25	Jun vs Jan	Jan'25	Jun'25	Jun vs Jan	Jan'25	Jun'25	Jun vs Jan
Total LFF	**163,882**	**194,447**	**18.7%**	**55,041**	**53,230**	**-3.3%**	**108,841**	**141,217**	**29.7%**
...FBS	**34,781**	**45,313**	**30.3%**	**19,939**	**22,274**	**11.7%**	**14,842**	**23,039**	**55.2%**
.....NNWH 1	25,469	29,171	14.5%	19,939	22,274	11.7%	5,530	6,897	24.7%
.....Local CBWH	9,312	16,142	73.3%	0	0	-	9,312	16,142	73.3%
...3PF	**129,101**	**149,134**	**15.5%**	**35,102**	**30,956**	**-11.8%**	**93,999**	**118,178**	**25.7%**
% of NNWH to CB MP	**2.4%**	**2.9%**	**+0.4pp**	**3.0%**	2 **3.7%**	**+0.7pp**	**1.4%**	2 **1.7%**	**+0.2pp**
% of Local CBWH to CBMP	**0.9%**	**1.6%**	**+0.7pp**	**0.0%**	**0.0%**	**-**	**2.4%**	**3.9%**	**+1.5pp**

Key Highlights

1. CB MP ADO in Nanning Warehouse (NNWH) grew by 14.5% from 25.5k ADO to 29.2k ADO from Jan’25 to Jun’25
   a. VN NNWH grew from 19.9k to 22.3k, +11.7%
   b. TH NNWH grew from 5.5k to 6.9k, +24.7%

2. NNWH currently contributes to 3.7% of VN CB MP and 1.7% of TH CB MP

Current Landscape: NNWH is a non-local fulfilment WH, similar to Anbo and KFBS

WH Purpose	Attributes				Warehouse
	Seller Fulfilment Cost	Inventory Management	Buyer Wait Time	Useful vs Competition	
Non-Local Fulfilment WH	WH cost is cheaper	- Low blackstock risk - Easier to replenish	4-6 days	Low, TTS use local 3PF	**NNWH,** Anbo WH K-FBS WH
Local Fulfilment WH	WH cost depends on local markets	- Higher blackstock risk - Long replenishment time	Next Day	High, Directly compete with TTS	Locally based WH (Both 3PF and FBS)

Key Highlights

1. There are 2 kinds of WHs in Shopee's fulfilment network today
   a. Non-local fulfilment WH - Close to sellers; these are used to serve smaller sellers that are risk averse and want to try WH as a pilot
   b. Local fulfilment - Close to buyers: these has higher big seller adoption and offer much better buyer experience

2. NNWH is a **Non-local fulfilment WH** that is **close to sellers**, which reduces cost of fulfilment for sellers, however, BWT still longer than local WH and not optimal for buyer experience

3. Our objective is to **grow locally fulfilled order whenever possible** (using Local fulfilment WH) to achieve better buyer experience and compete effectively with TTS

Current Landscape: NNWH serves only VN and TH markets, but with higher importance to VN due to VN's lack of local CBWH and 3PF compliance complications

Table: Availability of CBWHs to various markets (Short Term)

Fulfilment Methods	SG	MY	VN	TH	PH
Non-local Fulfilment WH	Anbo	Anbo [1]	Anbo	Anbo [2]	Anbo
	/	/	NNWH	NNWH	/
Local Fulfilment WH	Local CBWH	Local CBWH	/	Local CBWH	Local CBWH
	3PF	3PF	3PF (Compliance Issue)	3PF	3PF
Non-WH	SLS	SLS	SLS	SLS	SLS

Key Highlights

1. For VN market, NNWH serves a **more important role** because
   a. There is no Local CB WH (closed due to low CB seller adoption due to high tax)
   b. 3PF is difficult to push due to existence of compliance issue
      i. **VN is working on alternative payment methods as solution with ETA of 14 Aug**
   c. Therefore, it is the only WH that Shopee can push to reduce BWT (especially for buyers that are based in Northern VN); Should 3PF compliance issue be bypassed, more sellers will be able to be pushed to do 3PFs in VN, similar to TTS

2. For TH market, previously NNWH serves as a WH to fulfil orders that are not compliant with local licensing regulations. However, in the future, there will be no products that can only be fulfilled from NNWH, because listing compliance will be controlled from listing level for all fulfilment channels

Assessment: 3PF offers the best fulfilment experience for buyers in VN; while Local CBWH offers the best in TH; cost of fulfilment is not significant in long run for sellers

Value Proposition		Breakdown	Unit	Market: VN					Market: TH				
				NNWH	Local CBWH	3PF (ref)	SLS (ref)	Anbo (ref)	NNWH	Local CBWH	3PF (ref)	SLS (ref)	Anbo (ref)
To Buyers	Waiting Time	BWT	Days	1 3.6		2.7	7.4	3.9	2 5.5	2.3	2.4	6.6	6.2
		SDH%	%	95%	No local WH	96%	/	97%	96%	77%	88%	/	97%
To Sellers	Addressable local fulfillment ADO	% of MP ADO that cannot be fulfilled locally	%	Pending VN		Pending VN Assessment			2 0% (all orders will be able to be fulfilled locally)				
	Cost of Fulfilment (true cost)	CPO (Actuals)	$	0.86		1.00	0.72	0.96	1.02	1.39	1.07	0.84	1.08
		... SLS First Mile	$	0.19		0.21	0.21	0.21	0.33	0.40	0.40	0.40	0.40
		... Last Mile	$	0.51		0.51	0.51	0.51	0.44	0.44	0.44	0.44	0.44
		... Warehouse	$	0.16		0.28	/	0.24	0.25	0.53	0.23	/	0.24
		CPO (Projected)	$	0.84		/	0.73	0.97	1.11	1.19	/	0.92	1.16
		… Warehouse	$	1 0.15		/	/	0.24	2 0.19	0.27	/	/	0.24
Push Priority				P2 (P1 if no 3PF option)		P1*	/	P2	/	P1	P2	/	/

Key Highlights

1. In VN, 3PFs can provide **2.7 days of BWT**, while **NNWH does 3.6 days** (2.9 days for Hanoi); there is **no significant cost difference in projected true cost** between NNWH/ 3PF/ SLS, therefore, we **push 3PF as first priority** for shorter BWT and to counter TTS head on
   a. **NNWH to be deprioritized but keep** as an option because 1) some sellers can't meet 3PF compliance requirement and can only do NNWH for LFF 2) NNWH still helps improve BWT significantly vs SLS (3.6 days vs SLS 7.4 days)
   b. Concurrently, we should optimize NNWH lead time and aim for 0.5 day faster vs Anbo WH, starting with pilot for North VN areas. As of Jul, NNWH already achieved 75% orders delivered within 2 days for Hanoi
2. In TH, NNWH is **~3 days slower** vs both local CBWH and 3PF, while also having no significant projected cost savings
   a. Additionally, there will be no products that can only be fulfilled from NNWH, because listing compliance will be controlled from listing level (need liscence before listing can be listed)
3. In summary, given this,
   a. For VN, We push 3PF as first priority for shorter BWT. NNWH to be deprioritized but keep as an option for sellers
   b. For TH, We focus solely on local CBWH and deprioritize NNWH

[Backup] NNWH BWT to VN currently slightly faster vs Anbo WH, despite the geo advantages; We recommend to improve NNWH BWT to improve its value to VN buyers

Table: NNWH and Anbo WH BWT to VN comparison (Jul'25)

	Hanoi	HCM	Danang (A1)	North Vietnam (B1)	South Vietnam (B2)	Overall
NNWH BWT to VN	2.90	3.58	3.41	3.79	3.90	3.63
Anbo WH BWT to VN	3.04	3.80	3.55	4.13	4.14	3.88
NNWH advantage vs Anbo	-0.14	-0.22	-0.15	-0.34	-0.24	-0.25

NNWH faster vs Anbo

NNWH slower vs Anbo

Mode	NNWH						Anbo WH					
Zone	Hanoi	HCM	Danang (A1)	North Vietnam (B1)	South Vietnam (B2)	Overall	Hanoi	HCM	Danang (A1)	North Vietnam (B1)	South Vietnam (B2)	Overall
1. APT	0.63	0.64	0.64	0.63	0.65	0.64	1.01	1.05	1.01	0.99	1.02	1.01
2. whs_inbound_to_outbound	0.28	0.28	0.28	0.28	0.28	0.28	0.14	0.14	0.15	0.19	0.19	0.17
3. outbound_to_arrive_lt	0.83	0.85	0.82	0.76	0.82	0.80	0.76	0.76	0.78	0.89	0.88	0.84
4. arrive_to_handover_lt	0.36	0.80	0.69	0.46	0.91	0.61	0.33	0.74	0.65	0.44	0.79	0.56
5. handover_to_first_attempt_lt	0.75	0.99	0.94	1.64	1.22	1.27	0.73	1.05	0.90	2.62	1.20	1.67
Total BWT	2.90	3.58	3.41	3.79	3.90	3.63	3.04	3.80	3.55	4.13	4.14	3.88

- NNWH BWT to VN only slightly faster than Anbo WH (NNWH 3.6 day vs Anbo WH 3.9 days) despite the geographical advantages that NNWH is much closer to VN
- Next step to further optimize NNWH BWT and aim for 0.5 day faster vs Anbo WH, starting with pilot for North VN areas. As of Jul, NNWH already achieved 75% orders delivered within 2 days for Hanoi

Next Steps: Propose to improve NNWH order UE by increasing base comm and optimizing SLS rate card, improve NNWH Ops performance and re-assess NNWH size required in the long run

Proposed changes to NNWH treatment

Govern seller movement	• Propose for VN and TH to increase Base commission fee and remove SLS discount, with order drop of 2.8% and 1% and P&L improvement of $836k and $946k respectively *Deep dive next slides*
Improve NNWH LT to North VN	• Optimize NNWH BWT especially to North VN buyers
Re-assess WH size required	• Refresh NNWH ADO projection given that we will be pushing 3PF ADO moving forward for VN and Local FBS for TH, and re-assess NNWH space needed

Next Steps: Propose for VN and TH to increase Base comm fee and remove SLS discount, with order drop of -2.8% and -1%, and monthly P&L improvement of +$836k and +$946k respectively

Table: NNWH Discount in MP and SLS simulation

Field		BU	Unit	VN Baseline	VN Recommended	TH Baseline	TH Recommended
				Budget (Jul'25)	*Commission Increase + remove SLS discount*	Budget (Jul'25)	*Commission Increase + remove SLS discount*
Assumption	Base Comission	3P SLS	*%, of NCB*	17.4%	17.4%	7.7%	7.7%
		NNWH	*%, of NCB*	**11.0%**	**15.4%**	**2.5%**	**5.7%**
		3PF	*%, of NCB*	10.0%	10.0%	7.9%	7.9%
	SLS Rate Card	**NNWH (SLS + FBS)***	*usd/order*	**0.22**	**0.39**	**0.22**	**0.67**
Simulations	ADO	3P SLS	*#, daily*	609,268	590,918	253,385	249,660
		NNWH	*#, daily*	25,313	21,789	7,708	6,927
		3PF	*#, daily*	31,493	35,017	116,270	117,051
		Choice	*#, daily*	35,141	33,556	37,503	36,795
		KRJPSIP	*#, daily*	16,183	16,183	30,022	30,022
		Total	*#, daily*	**717,398**	**697,463**	**444,888**	**440,455**
	P&L (MP PC2+ SLS+Warehouse Ops P&L)	3P SLS	*usd, monthly*	4,355,340	5,008,952	1,811,923	2,492,029
		NNWH	*usd, monthly*	106,070	288,958	178,072	443,627
		3PF	*usd, monthly*	356,094	356,094	2,180,915	2,180,915
		Choice	*usd, monthly*	-200,184	-200,702	-628,171	-628,151
		KRJPSIP	*usd, monthly*	92,188	92,188	-44,709	-44,709
		Total	*usd, monthly*	**4,709,508**	**5,545,490**	**3,498,031**	**4,443,712**
	Impact	ADO vs current	*% change*		-2.8%		-1.0%
		P&L vs current	*abs. change*		+835,981		+945,682
		NNWH Cost/pc	*usd, monthly*	**0.130**	**0.137**	**0.146**	**0.149**

Key Highlights

Context: NNWH currently 1) enjoys a **much lower commission vs SLS**, 2) a **discounted SLS rate card**, although it is **not a true local fulfilment** WH

Approach: Since we are to treat NNWH as a backup CN based fulfilment WH, we should

1. **Differentiate commission rate** such that sellers would choose local fulfilment as first option instead of NNWH
   a. We propose to align all CN/KR based fulfilment WH to **2pp lower vs SLS rate** since the nature of this fulfilment method is quite similar to SLS
2. **Completely remove SLS discount** to reflect true cost of doing business

Impact: Overall, we are projected to achieve **+836k for VN monthly and +$946k for TH monthly**

Backup: Scaling back NNWH does not disadvantage our LFF competitiveness vs TTS as TTS major 3PF partners all based in NN

TTS 6 certified 3PF partners

- Vietnam Hanoi Flash Warehouse
- Vietnam LongAn Seayayun Warehouse
- Vietnam HoChiMinh J&T Warehouse
- Vietnam BacNinh AsiaECS Warehouse
- Vietnam HoChiMinh Flash Warehouse
- Vietnam BinhDuong ANEST Warehouse

Unused

Executive Summary

Background

- CB MP ADO in Nanning Warehouse (NNWH) ADO grew to **29.2k ADO** in Jun'25 (+14.5% vs Jan), and currently contributes to **3.7% of VN CB MP** and **1.7% of TH CB MP**
- NNWH is currently positioned as a non-local fulfilment WH for VN and TH market (similar to Anbo, KFBS), but with higher importance to VN market due to proximity to North VN where it improves **BWT vs SLS** and is an alternate option **for less risk/cost averse sellers**
- Given our emphasis to grow proportion of locally fulfilled orders for **better buyer experience**, we want to **reassess the value proposition of NNWH** within this narrative

Assessment

- In summary, we see that 3PF offers the best fulfilment experience for buyers in VN; while Local CBWH offers the best in TH; differences between various cost of fulfilment of various warehouse/channels is not significant for sellers, therefore we recommend that
  - For VN
    - If VN is **able to bypass** compliance, we **push 3PFs as first priority** for better buyer experience and to counter TTS head on
    - If VN is **not able to bypass** compliance, we should **xxxx** so as to not disadvantage ourselves vs TT, and **push NNWH** as a local fulfilment WH, given this is the next best option
    - Concurrently, we should also work to **optimize the lead time** for NNWH for North VN
  - For TH
    - We **focus solely on local CBWH**, while **deprioritizing NNWH** because 1) there is no SKUs that can only be fulfilled from NNWH for TH and 2) BWT being **much slower** (~3 days) vs local CBWH
  - Additionally,
    - We will **not be disadvantaged** vs competitor is we deprioritize Nanning WH to push true local fulfilment, as TTS main **3PFs partners are all in local VN and TH**

To achieve this, we can

- [Short Term] Govern seller movement by 1) differentiating NNWH commission between SLS and Local CBWH, and 2) remove any existing discounts for NNWH where applicable
- [Mid Term] Further optimize and set targets for NNWH BWT especially for NNWH to northern VN
- [Long Term Term] Refresh NNWH ADO projection and WH size planning

Assessment: 3PF offers the best fulfilment experience for buyers in VN; while Local CBWH offers the best in TH; cost of fulfilment is not significant in long run for sellers

Value Proposition		Breakdown	Unit	Market: VN					Market: TH				
				NNWH	Local CBWH	3PF (ref)	SLS (ref)	Anbo (ref)	NNWH	Local CBWH	3PF (ref)	SLS (ref)	Anbo (ref)
To Buyers	Waiting Time	BWT	Days	1 3.6		2.7	7.4	3.9	2 5.5	2.3	2.4	6.6	6.2
		SDH%	%	95%	No local WH	96%	/	97%	96%	77%	88%	/	97%
To Sellers	Addressable local fulfillment ADO	% of MP ADO that cannot be fulfilled locally	%	Pending VN		Pending VN Assessment			2 0% (all orders will be able to be fulfilled locally)				
	Cost of Fulfilment (true cost)	CPO (Actuals)	$	0.86		1.00	0.72	0.96	1.02	1.39	1.07	0.84	1.08
		... SLS First Mile	$	0.19		0.21	0.21	0.21	0.33	0.40	0.40	0.40	0.40
		... Last Mile	$	0.51		0.51	0.51	0.51	0.44	0.44	0.44	0.44	0.44
		... Warehouse	$	0.16		0.28	/	0.24	0.25	0.53	0.23	/	0.24
		CPO (Projected)	$	0.84		/	0.73	0.97	1.11	1.19	/	0.92	1.16
		… Warehouse	$	1 0.15		/	/	0.24	2 0.19	0.27	/	/	0.24
Push Priority				P2 (P1 if no 3PF option)		P1*	/	P2	/	P1	P2	/	/

Key Highlights

1. In VN, 3PFs can provide **2.7 days of BWT**, while **NNWH does 3.6 days** (2.9 days for Hanoi); there is **no significant cost difference in projected true cost** between NNWH/ 3PF/ SLS, however, we are pending if VN is able to bypass 3PF compliance for us to push 3PFs; therefore,
   a. If VN is able to bypass 3PF compliance, we **recommend to push 3PF** for better buyer experience and counter TT LFF head on
   b. If VN does not bypass compliance, we **recommend to push NNWH** given the next better option for buyer experience
      - We should also **whistleblow TTS non-compliant issue** should we decide to be compliant with government regulations
2. In TH, NNWH is **~3 days slower** vs both local CBWH and 3PF, while also having no significant projected cost savings
   a. Additionally, there will be no products that can only be fulfilled from NNWH, because listing compliance will be controlled from listing level (need liscence before listing can be listed)
3. In summary, given this,
   a. Short Term: We recommend to **wait for VN assessment on fulfilment priority,** and for TH to **position NNWH as a backup CN based fulfilment WH** (similar in function to Anbo WH and K-FBS WH), which shall be governed by differentiated seller charge rate [details next slide]
   b. Mid Term: If VN can bypass compliance checks, we shall move NNWH to similar priority as TH, but if not, we shall continue to position NNWH as P1 priority for VNWH

Next Steps: Propose to improve UE by increasing base commission rate for TH, while pending VN direction on compliance treatment

Proposed changes to NNWH treatment

Govern seller movement (Short Term)	• [Immediate] Maintain VN commission rate until 3PF direction and TH to increase Base commission fee, with order drop of 1% and P&L improvement of $946k • [Short term] Propose for VN (if bypass 3PF compliance checks) to follow TH direction and remove SLS discount, with order drop of 2.8% and $836k PnL improvement *Deep dive next slides*
Further optimize NNWH BWT (Mid Term)	• Further optimize and set targets for NNWH BWT especially for NNWH to Northern VN BWT
Re-assess WH size required	• [Mid term] Refresh NNWH ADO projection once VN policy is decided, re-assess NNWH size required in the long run

Next Steps: Propose for TH to increase base comm fee, with order drop of -1%, and monthly P&L improvement of +$946k; VN will gain +$835k if we decided to push 3PFs

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		KRJPSIP	*usd, monthly*	92,188	92,188	-44,709	-44,709
		Total	*usd, monthly*	**4,709,508**	**5,545,490**	**3,498,031**	**4,443,712**
	Impact	ADO vs current	*% change*		-2.8%		-1.0%
		P&L vs current	*abs. change*		+835,981		+945,682
		NNWH Cost/pc	*usd, monthly*	**0.130**	**0.137**	**0.146**	**0.149**

Key Highlights

Context: NNWH currently 1) enjoys a **much lower commission vs SLS**, 2) a **discounted SLS rate card**, although it is **not a true local fulfilment** WH

Approach: Since we are to treat NNWH as a backup CN based fulfilment WH, we should

1. **Differentiate commission rate** such that sellers would choose local fulfilment as first option instead of NNWH
   a. We propose to align all CN/KR based fulfilment WH to **2pp lower vs SLS rate** since the nature of this fulfilment method is quite similar to SLS
2. **Completely remove SLS discount** to reflect true cost of doing business

Impact: Overall, we are projected to achieve **+$946k for TH monthly** from 1) and 2), while we wait on VN decision for 3PF treatment